



The Morning Brief

MAY 11, 2026

Iran Snubs

Friday's record close meets a weekend reversal as Trump rejects Tebran's counter-proposal and crude reclaims the bid.

S&P 500	ES FUTURES	BRENT CRUDE	BITCOIN (LIVE)	FEAR & GREED
7,399 ↑0.84% Fri	7,407 ↓0.2% Sun	\$104.60 ↑3.3%	~\$80K · Range-bound	38 · Fear

SECTION 01

Markets

FRIDAY PRINTED A RECORD ON THE NFP BEAT — SUNDAY RESET THE SETUP

The S&P 500 closed Friday at 7,398.93 (+0.84%) and the Nasdaq Composite at 26,247.08 (+1.71%), both fresh record closes, with the Dow essentially flat at 49,609.16 (+0.02%) and the Russell 2000 +0.76% to 2,861.19 per CNBC and TheStreet coverage. On the week, the S&P added 2.3% and registered a sixth-straight winning week — the longest such streak since 2024 per CNBC. The catalyst was the April Employment Situation: nonfarm payrolls rose 115K against a +62K Wall Street consensus per the BLS release, with the unemployment rate unchanged at 4.3% and average hourly earnings cooling to +0.2% MoM and +3.6% YoY versus +3.5% YoY prior. The wage moderation is the cleaner read for the rate path; the headline beat preserves the soft-landing framework into Tuesday’s April CPI release. The tape on Friday also absorbed a fresh US-Iran exchange in the Hormuz corridor without ceding the AI-led bid, consistent with the past two weeks’ pattern of geopolitical headlines being repriced inside an intact growth narrative.

SUNDAY REVERSAL — TRUMP REJECTS IRAN’S COUNTER-PROPOSAL, CRUDE RECLAIMS THE BID

Iran submitted a counter-proposal Sunday morning that, per Al Jazeera, Reuters, and Business Standard reporting, called for Iranian sovereignty over the Strait of Hormuz, compensation for war damages, release of frozen Iranian assets, sanctions relief, and an end to hostilities on all fronts including Lebanon. Trump responded Sunday evening via Truth Social rejecting Iran’s position outright per CNN and OilPrice reporting. The energy complex repriced immediately: Brent climbed approximately 3.3% to \$104.60 and WTI approximately 3.3% to \$98.62 per OilPrice and The National coverage, materially reversing the prior week’s 6% decline that had priced an imminent framework. ES futures traded near 7,407 (–0.16%) and NQ futures softened roughly 0.2%

Sunday night per CNBC. The committee may reasonably treat the Monday open as a reverse mirror of last Wednesday’s session: the energy sleeve and defense exposure carry forward, the growth sleeve faces a tactical headwind, and the framework window has narrowed without closing.

INTERNAL SETUP — AI SLEEVE CARRIES THE WEEK, ENERGY CARRIES THE WEEKEND

The IOWN growth sleeve enters Monday on a constructive multi-week footing: AMD’s May 6 reprice (+18.61%) and the Meta 6 GW Instinct commitment validated the physical-AI infrastructure thesis, FTNT’s May 7 Q1 beat (+20.03%) reframed the cybersecurity sub-sleeve, and TSM, LRCX, NXPI, and KEYS traded in coordinated fashion through the week. NVDA reports May 20 per WallStreetHorizon — the

bar has been materially eased. The crypto sleeve continues to consolidate with Bitcoin trading near \$80K over the weekend per Fortune coverage, with IBIT and ETHA closing Friday on the softer side of the week. The energy sleeve is where the Monday gap-up flow concentrates: CVX, VLO, OKE, CNX, and the post-merger Devon position (CTRA holders received 0.70 Devon shares per share at Thursday's close) sit positioned for the weekend repricing. Carson's SPY \$645.80 support remains active and well below current levels; Friday's record close keeps the retracement window wide. The committee's working framework: discipline over impulse on energy gap exposure, position the AI book ahead of CPI Tuesday and NVDA May 20.

S&P 500 / NASDAQ FRI CLOSE	7,398.93 ↑0.84% · 26,247.08 ↑1.71% · Records
WEEKLY GAIN	S&P +2.3% · 6th straight winning week
APRIL NFP	+115K vs +62K est · UE 4.3% · AHE +0.2% MoM, +3.6% YoY
BRENT · WTI (SUN)	\$104.60 ↑3.3% · \$98.62 ↑3.3%
ES FUTURES SUN	7,407 ↓0.16% · NQ ↓0.2%
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested

When wage growth cools alongside a headline payrolls beat, the labor read carries a constructive signal for the rate path that is independent of the geopolitical tape. The committee may reasonably observe that Friday's record close was the cleanest expression of the underlying soft-landing framework to date — while Sunday's reversal is a reminder that the energy binary has not yet resolved. Research Reveals Opportunities.

Geopolitics

IRAN'S COUNTER-PROPOSAL — HORMUZ SOVEREIGNTY, WAR-DAMAGES COMPENSATION, LEBANON LINKAGE

Per Al Jazeera, Business Standard, and Reuters coverage, Iran's Sunday submission to the US plan reframed the framework in three material ways: it asserted Iranian sovereignty over the Strait of Hormuz rather than accepting a multilateral transit arrangement, it demanded compensation for war damages and the release of frozen Iranian assets, and it extended the conflict-termination clause to include Lebanon and other regional fronts. Trump's Sunday-evening response via Truth Social rejected the position outright per CNN and OilPrice reporting. The reframing aligns with the senior Iranian commentary that closed last week — Mohsen Rezaee on Hormuz and the senior parliamentary characterization of the US framework as an American wish list — and is consistent with Tehran electing to negotiate on its terms ahead of the Trump–Xi summit rather than concede them. The committee may reasonably treat the framework window as further narrowed without being closed: the Pakistan-mediated channel remains open, but the gap on Hormuz custody, sanctions architecture, and frozen-asset release has now been formally articulated.

TRUMP–XI BEIJING SUMMIT THREE DAYS OUT — IRAN OIL AND RARE EARTHS LEAD THE ARCHITECTURE

Per CSIS, Brookings, and CFR coverage, the Trump–Xi summit on May 14–15 in Beijing now sits three days from today and arrives against a substantially harder Iran backdrop. CNBC and Bloomberg reporting indicate the principal US focus will be Chinese purchases of Iranian oil — a material funding channel for Tehran — alongside concerns about potential Chinese arms supplies to Iran. The broader summit agenda covers trade-truce extension, the rare-earth and US-goods purchase architecture, AI cooperation parameters, and Taiwan. Per the Voice of Emirates summit readout, the announced deliverables are expected to include a bilateral Board of Trade for non-sensitive sector purchase commitments and limited tariff adjustments. The IOWN defense exposure (LMT, GD) and the energy sleeve (CVX, VLO, OKE) carry the principal sensitivity to summit outcomes: a constructive Iran-oil framework with Beijing would compress the energy premium that Sunday just restored, while a stalled outcome would extend it.

DRONE ACTIVITY ACROSS THE GULF — UAE AIR-DEFENSE ENGAGEMENT VOLUMES ARE NOTABLE

Per Al Jazeera and CBC coverage, Iran conducted drone strikes against Qatar, the UAE, and Kuwait over the weekend, following Tehran's threats to target American sites and enemy ships if its tankers were attacked. UAE authorities disclosed

that air defenses have engaged 550 ballistic missiles, nearly 30 cruise missiles, and over 2,200 drones since Iran began regional strikes earlier this year per the same coverage. The volumes are a quantitative anchor for what has been an episodic geopolitical news flow: the regional integrated air-and-missile-defense posture is now a sustained operational tempo rather than an event-driven response. Per Reuters reporting last week, Secretary Rubio approved \$25.8B in weapons sales to Middle East nations — a forward marker for the defense backlog independent of how the framework ultimately resolves. The committee may reasonably observe that the defense-sleeve thesis is reinforced by both the framework-breakdown scenario and the underlying multi-year air-defense replenishment cycle.

IRAN COUNTER-PROPOSAL	Hormuz sovereignty · War-damages claim · Lebanon linkage
TRUMP RESPONSE	Rejected outright via Truth Social
TRUMP–XI SUMMIT	May 14–15 Beijing · 3 days out · Iran oil lead topic
GULF DRONE ACTIVITY	UAE air-defenses engaged 550 missiles · 2,200+ drones YTD
MIDEAST WEAPONS PIPELINE	\$25.8B Rubio-approved sales · LMT, GD backlog
CRUDE REACTION	Brent ~\$105 · WTI ~\$99 · Reverses prior-week 6% drop

On Our Radar

1. April CPI prints Tuesday at 7:30 AM CT — the single most consequential macro release of the week. Per the BLS release schedule, the April CPI report publishes Tuesday May 12 at 8:30 AM ET. Kiplinger and TradingKey consensus indicate headline CPI at +0.6% MoM and +3.7% YoY, with core CPI at +0.3% MoM and +2.7% YoY. The print sits against a hot March comparison — the March headline at +0.9% MoM was the largest monthly increase since June 2022, with energy contributing 10.9% MoM and gasoline +21.2% per BLS. The April reading will frame whether the energy-driven inflation impulse is persistent or transient and is the cleanest near-term read on the rate path. With April AHE having cooled to +3.6% YoY in Friday's payrolls release, a softer CPI core would compound the constructive labor read; a hotter print would re-establish the inflation-impulse channel that the March data introduced. Note: with the April publication, several CPI series rebase to December 2024 = 100 per BLS guidance — the committee should expect a brief presentation-format adjustment in headline coverage. *Think Like an Owner.*

2. Trump–Xi summit Wednesday evening through Friday in Beijing — Iran-oil framework is now the lead architecture. Per CSIS, Brookings, and Bloomberg coverage, Trump arrives in Beijing the evening of May 13 with bilateral meetings on May 14–15. The Iran-oil purchase question — Chinese demand for Iranian crude is a material funding channel for Tehran — has moved to the front of the agenda given Sunday's framework rejection. Anticipated deliverables include Chinese purchases of Boeing aircraft and US agricultural goods, a bilateral Board of Trade for non-sensitive sector commitments, and limited tariff adjustments per Voice of Emirates and CFR coverage. The IOWN positioning into the summit is balanced: AI capex remains the growth-sleeve anchor, the energy sleeve carries the weekend repricing, and defense (LMT, GD) hedges the framework-breakdown scenario. The committee may reasonably watch for any China-Iran-oil deliverable, which would be the most material single outcome for the energy book.

3. Energy sleeve gap-up on Monday — the Sunday repricing is uneven across the IOWN integrated book. The crude reversal carries forward through CVX, VLO, OKE, CNX, and the post-merger Devon position (former CTRA holders received 0.70 Devon shares per CTRA share at Thursday's merger close, per the Devon-Coterra materials). Devon's \$8B post-merger buyback authorization per Yahoo coverage adds a fundamental support layer to the integration. The committee may reasonably observe that the energy sleeve gap-up should be approached with discipline: pre-market repricing on geopolitical headlines historically tends to mean-revert when the framework window reopens, while a sustained framework breakdown would compound the move. *Avoid Erosion.*

4. April NFP retrospective — the wage-growth slowdown is the more durable signal than the headline beat. The April nonfarm payrolls release on Friday came in at +115K against a +62K Wall Street consensus per BLS — a clean beat but below the +185K March print. Job gains concentrated in health care (+37K), transportation and warehousing (+30K), and retail trade (+22K), while federal-government employment continued to decline. Average hourly earnings rose 6 cents (+0.2% MoM) to \$37.41, with year-over-year growth at +3.6% — a cooling versus prior trend. Per Stephens commentary and CNBC coverage, the print preserves the soft-landing framework: hiring at the small and large ends of the business spectrum continues, while the wage moderation reduces the inflation-impulse channel through the labor market. Rate-sensitive IOWN holdings (NEE, BKH, ATO, DGX, EIX) carry the principal forward sensitivity into Tuesday's CPI. *Simplicity Over Complexity.*

5. Crypto sleeve range-bound across the weekend — the digital book is consolidating after the prior-week miner moves. Bitcoin traded in roughly the \$79K–\$81K corridor over the weekend per Fortune coverage, with no decisive directional flow on either the Iran rejection or the broader risk-off futures setup. IBIT and ETHA closed Friday on the softer side of the week, and the COIN Q1 miss (revenue of \$1.41B versus \$1.52B consensus, with the \$394M GAAP loss flagged in last week's brief per CNBC) continues to weigh on the operational read. The committee's working framework remains: spot-ETF positioning captures the asset-class direction with cleaner mark-to-market discipline than the operating-leverage names. The HUT and MARA cohort moved sharply in both directions last week, consistent with the leveraged-operational expression rather than directional Bitcoin exposure.

6. Quiet earnings week ahead of NVDA on May 20 — the AI sleeve carries momentum without a single-name catalyst. Per WallStreetHorizon, NVDA reports May 20, with the AMD beat-and-raise from May 6 and the Meta 6 GW Instinct deployment commitment having materially eased the bar that print needs to clear. The IOWN AI-edge cohort (TSM, NVDA, NXPI, LRCX, KEYS, MRVL, ADI, TEL) entered Monday on a coordinated multi-week reprice rather than a single-name move. The committee may reasonably observe that the physical-AI infrastructure thesis is now expressed across the GPU, CPU, equipment, and connector layers in coordinated fashion — the structural read remains constructive even if the tape takes a tactical pause on geopolitical noise. *The physical world matters.*

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